FINANCIAL ANALYST PORTFOLIO | CASE STUDY

Business Performance Analysis & Forecasting

Actual vs budget review, January to June, with a three-month forecast

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CONTEXT & APPROACH

The business question

BUSINESS CONTEXT

Between January and June 2026, monthly revenue grew from £60k to £87.5k as units sold rose from 1,200 to 1,750. The open question was whether that growth was delivering the profit management had budgeted.

OBJECTIVE

Measure performance against budget, identify what is driving profitability, and forecast July to September.

ANALYTICAL APPROACH

1

Analyse

Margins, budget variances and cost ratios from six months of actuals.

2

Report

A management dashboard with written findings and recommendations.

3

Forecast

A driver-based projection built on revenue growth and cost ratios.

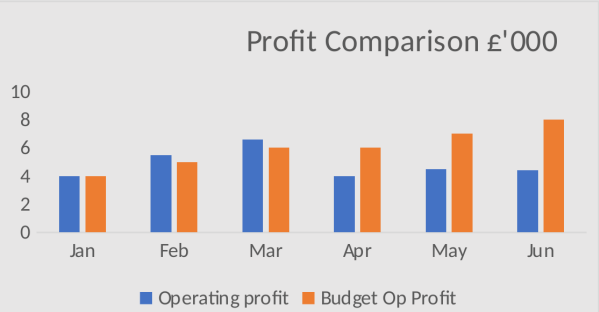
All figures are in £'000 unless stated.

PERFORMANCE FINDINGS

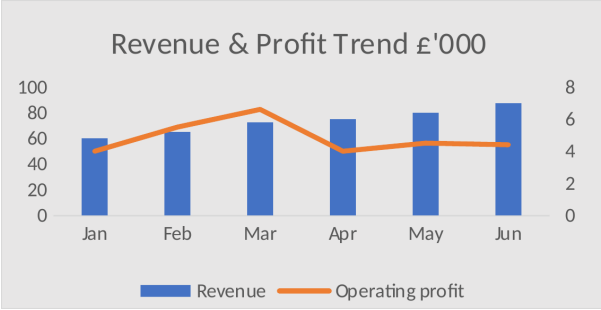
Growth that missed the plan

Revenue grew 45.8% from January to June, yet finished **£8k below budget** (£440k vs £448k). Operating profit was **£7k below** (£29.0k vs £36.0k).

Total Revenue	Gross Profit Margin	Operating Profit	Operating Profit Margin
£440K	44.8%	£29.0k	6.6%



Operating profit beat budget in February and March, then fell short every month from April. June missed by £3.6k.



Revenue rose every month. Operating profit peaked in March and has since stalled near £4.5k.

WHAT DROVE THE GAP

Gross margin held steady at 44 to 45%. Marketing spend doubled from £8k to £16k, and operating margin slipped from 6.7% to 5.0%.

FORECAST & RECOMMENDATIONS

July to September outlook

The forecast projects Q3 revenue of **£306k** and operating profit of **£20.5k**, a 6.7% margin.

				Forecast-->		
£'000	30-Apr-26	31-May-26	30-Jun-26	31-Jul-26	31-Aug-26	30-Sep-26
Profit or Loss						
Revenue	75	80	87.5	94.4	101.8	109.8
COGS	42	44	48.1	52.1	56.2	60.6
Gross Profit	**33**	**36**	**39.4**	**42.3**	**45.6**	**49.2**
Marketing	12	14	16	14.5	15.6	16.8
Payroll	11	11	12	13.9	15.0	16.2
Other Opex	6	6.5	7	7.6	8.2	8.8
Operating Profit	**4**	**4.5**	**4.4**	**6.3**	**6.8**	**7.4**

Last three actual months, then the three forecast months. £'000.

KEY ASSUMPTIONS

Revenue grows 7.9% a month, the six-month average. Gross margin holds at 44.8%. Marketing, payroll and other costs stay at their six-month average share of revenue.

Watch point: marketing falls from 18.3% of revenue in June to 15.3%, so the recovery depends on cost discipline.

RECOMMENDATIONS

1. **Test marketing returns**
   Check whether the doubled spend is converting into revenue.

2. **Control operating costs**
   Align payroll and other cost growth with revenue growth.

3. **Tighten budget monitoring**
   Review variances monthly, starting with April to June.

SKILLS, LIMITS & TAKEAWAY

What this project shows

KEY SKILLS DEMONSTRATED

- Budget variance analysis
- Driver-based forecasting
- Management commentary
- Margin and cost-ratio analysis
- Excel dashboards and reporting

PRINCIPAL LIMITATIONS

- Six months of data, so seasonality is not captured.
- The forecast uses simple averages and a single scenario.
- No campaign data, so marketing returns remain untested.

PROJECT TAKEAWAY

Revenue growth alone did not deliver the planned profit. Rising marketing cost, not gross margin, drove the gap.